

INTERNAL POLISHED CANDIDATE • REVIEW ONLY

Weekly Composite Regime and Sector Positioning

Prepared for Randall • Report date 2026-06-06 • Generated 2026-06-07T04:47:56Z

Authority boundary
PDF is presentation only. Sector tilts, promotion lists, weights, sleeves, sizing, cash targets, and execution are **not approved** by this document.

Verdict: Selective risk-on, not automatic offense. Breadth and credit support review work, but manual-dependency trust, mixed market dates, Technology concentration, and owner-gated portfolio authority block any applied mutation.

TRUST review_required stale	PRESENTATION False Internal review candidate only	CAPITAL ACTION False No trade / sizing / allocation authority	SECTOR BOARD degraded review_only
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Visible trust limits: sector_correlation_check status=degraded; daily review source freshness requires review; artifact remains review-only.

IMPROVING LEADERSHIP Consumer Staples, Financials, Health Care, Industrials, Real Estate Leadership does not equal approval.	UNDEREXPOSED SECTORS 7 Communication Services, Consumer Discretionary, Consumer Staples, Health Care	PENDING PROMOTION REVIEW CAT, GS, LLY, NVDA Approved/promoted separate: ETN, JPM
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PORTFOLIO IMPLICATIONS

- Do not treat improving Technology leadership as a green light to add: direct Technology is already at the stated cap and AI-power correlation remains elevated.
- Underexposure is broad; the useful work is quality candidate review, not forced sector filling.
- Pending promotion-review candidates are CAT, GS, LLY, NVDA; already approved/promoted names are shown separately as ETN, JPM.
- Strict deployment surface currently shows deployable-now names: ETN; almost-deployable names: GS, JPM, MSFT.



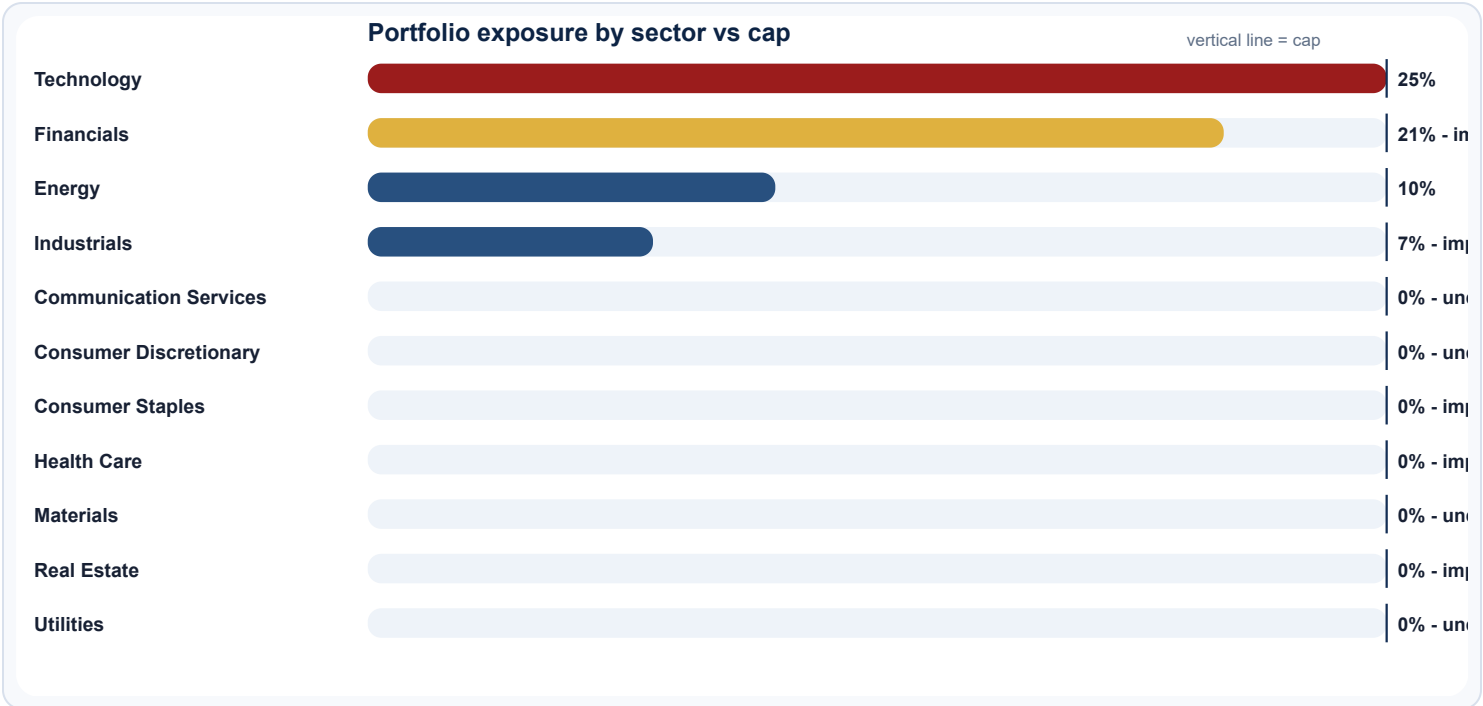
FED TARGET 3.5%–3.75% Next FOMC 2026-06-17	10Y TREASURY 4.536% As of 2026-06-05	VIX 21.51 As of 2026-06-05
HY OAS 2.74 Credit: benign	BREADTH 6/11 mixed / recovering	ENERGY / DOLLAR WTI 90.25 · DXY 100.071 Brent 92.87

Signal	Current read	Positioning meaning
Policy / rates	Target 3.5%–3.75%; 2s10s 69.6 bps	Restrictive-policy pause; no broad valuation tailwind assumed.
Credit	IG OAS 0.74; HY OAS 2.74; regime benign	Benign credit supports review work but does not grant deployment authority.
Breadth	6/11 sectors above 50DMA; regime recovering	Participation is constructive enough for candidate review; leadership remains selective.
Inflation / energy	Brent 92.87; WTI 90.25	Energy/inflation pressure remains an invalidation path for risk-on posture.

Deployment implication: Review quality names and sector gaps, but wait for clean entry, catalyst, and owner-approved mutation gates before any portfolio action.

Status question: Where is sector leadership improving, where are we underexposed, and which names deserve promotion review?

Concentration: Direct Technology is at cap at 25% vs 25% cap; AI-power correlated sleeve is 32% including ETN.



Sector	Current read	Exposure / gap	Review action
Communication Services XLC	deteriorating 1d RS 1.3078; 5d RS -0.9724	0.0% - unrepresented underexposed Candidates: META, NFLX, XLC	Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change.
Consumer Discretionary XLY	deteriorating 1d RS 0.5342; 5d RS -2.4699	0.0% - unrepresented underexposed Candidates: BKNG	Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change.
Consumer Staples XLP	improving 1d RS 4.2874; 5d RS 3.1416	0.0% - unrepresented underexposed Candidates: —	Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change.
Energy XLE	repair_needed 1d RS 0.7426; 5d RS 4.954	10.0% - within_limit Candidates: CVX, LNG, XLE, XOM	Maintain review-only monitoring; no canonical mutation or capital action.
Financials XLF	improving 1d RS 2.7917; 5d RS 3.8983	21.0% - near_cap Candidates: GS, JPM, XLF	Review concentration/correlation warning before any owner-gated promotion review; no sizing or deployment authority.
Health Care XLV	improving 1d RS 3.1924; 5d RS 4.8708	0.0% - unrepresented underexposed Candidates: LLY	Underexposed improving sector: prepare owner-gated promotion review candidates; no automatic promotion.
Industrials XLI	improving 1d RS 1.4569; 5d RS 3.1089	7.0% - within_limit Candidates: CAT, ETN, PH, VRT, XLI	Existing exposure with queued candidates: keep promotion review owner-gated and check risk/sizing before any change.
Materials XLB	repair_needed 1d RS 0.663; 5d RS 1.4858	0.0% - within_limit underexposed Candidates: LIN, VAW, XLB	Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change.
Real Estate XLRE	improving 1d RS 3.2566; 5d RS 4.1164	0.0% - unrepresented underexposed Candidates: —	Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change.

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Weekly Composite Regime and Sector Positioning - 2026-06-06 Polished

Technology XLK	mixed 1d RS -4.0816; 5d RS -3.1096	25.0% - at_cap Candidates: AMD, AMZN, GOOG, MSFT, NVDA, PLTR, SMC	Review concentration/correlation warning before any owner-gated promotion review; no sizing or deployment authority.
Utilities XLU	repair_needed 1d RS 3.514; 5d RS 2.3448	0.0% - unrepresented underexposed Candidates: —	Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change.

Data source: tmp/sector-expansion-board.json

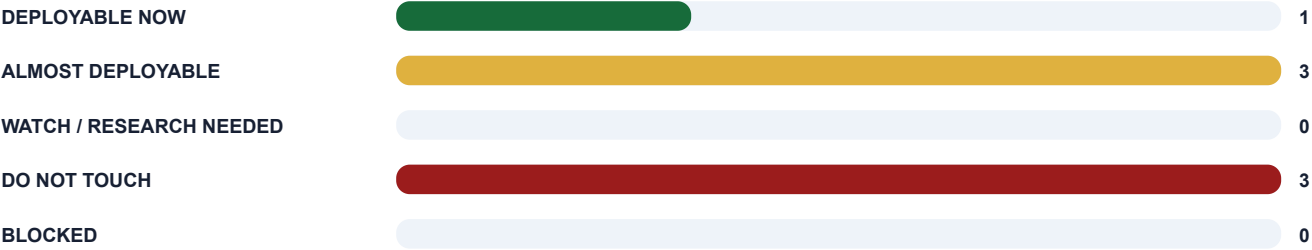
Page 3

Hard boundary: Every row below is a review-only positioning frame. It is not applied portfolio state and does not authorize target weights, sleeves, promotions, sizing, cash, or trades.

Sector	Proposed tilt	Rationale	Owner-gated blocker
Communication Services XLC	Research queue / candidate search proposal_for_review	Underexposed sector; do not force exposure without quality candidate and entry.	Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.
Consumer Discretionary XLY	Research queue / candidate search proposal_for_review	Underexposed sector; do not force exposure without quality candidate and entry.	Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.
Consumer Staples XLP	Research-positive review proposal_for_review	Improving relative tape; still requires name-level proof.	Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.
Energy XLE	Maintain monitoring proposal_for_review	No current evidence for applied tilt change.	Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.
Financials XLF	Hold / no broad overweight expansion proposal_for_review	Leadership is improving, but exposure or correlation already limits clean expansion.	Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.
Health Care XLV	Research-positive review proposal_for_review	Improving relative tape; still requires name-level proof.	Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.
Industrials XLI	Research-positive review proposal_for_review	Improving relative tape; still requires name-level proof.	Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.
Materials XLB	Research queue / candidate search proposal_for_review	Underexposed sector; do not force exposure without quality candidate and entry.	Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.
Real Estate XLRE	Research-positive review proposal_for_review	Improving relative tape; still requires name-level proof.	Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.
Technology XLK	Concentration review proposal_for_review	Exposure already near cap; additions require explicit concentration review.	Direct Technology is at cap at 25% vs 25% cap; AI-power correlated sleeve is 32% including ETN.
Utilities XLU	Research queue / candidate search proposal_for_review	Underexposed sector; do not force exposure without quality candidate and entry.	Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.

DEPLOYABLE NOW 1 ETN	ALMOST DEPLOYABLE 3 GS, JPM, MSFT	WATCH / RESEARCH 0 —	DO NOT TOUCH 3 BRK.B, LMT, XOM
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Strict deployment surface distribution



Promotion-review split: pending candidates = CAT, GS, LLY, NVDA; approved/promoted names = ETN, JPM. Approved/promoted does not mean automated execution.

Name	State	Band posture	Next review trigger
ETN DEPLOYABLE NOW	DEPLOYABLE NOW	IN BAND	Owner-approved Tier 1 explicit add only after price re-enters or reclaims the 367.00 to 406.99 band; current validated price is above band, so wait/no chase unless a later approved band review changes the level; manual execution only; no automatic sizing, sleeve, cash, or trade authority
GS ALMOST DEPLOYABLE	ALMOST DEPLOYABLE	3.1% above band top	Pullback into 938.80 to 1007.34 with stop 900.73; secondary to JPM until promoted/sized, with bank-specific fundamentals review required before any Financials execution promotion; no automatic execution or sizing authority.
JPM ALMOST DEPLOYABLE	ALMOST DEPLOYABLE	2.4% above band top	Current reference entry band is 291.13 to 305.17 with explicit stop/invalidation 283.33; JPM is above that band at the latest artifact close and is not deployable from approval history alone. Use 301.17 as near-term support/reference only; no automatic execution or sizing authority.
MSFT ALMOST DEPLOYABLE	ALMOST DEPLOYABLE	1.0% above band top	Owner-approved staged manual candidate, but latest close is above the 389.64 to 412.56 band; wait/no chase until pullback into the band or explicit approved band review. Starter tranche still requires manual execution discipline, Tech-cap sequencing, and no automatic execution or sizing authority.
BRK.B DO NOT TOUCH	DO NOT TOUCH	0.3% below band low	Monitor for reclaim and hold of 200D MA / 489.78 to 498.19 reclaim band; no deployment until repair state is explicitly lifted.
LMT DO NOT TOUCH	DO NOT TOUCH	4.5% below band low	No active allocation or trigger until stop reclaim, fresh base, and main-session review versus 548.51 to 582.27 band; no automatic sizing or execution authority.
XOM DO NOT TOUCH	DO NOT TOUCH	0.2% below band low	No deployment from current gated execution band 150.24 to 158.44; repair/review required before re-engagement; explicit stop 146.14.

Downgrade / invalidation paths

- Credit spreads widen from benign levels.
- Breadth rolls from broad/recovering into narrow deterioration.
- Rates re-accelerate and pressure long-duration valuation.
- Energy/inflation pressure becomes sustained.
- Technology remains the only leadership while concentration blocks more exposure.

Upgrade conditions

- Manual-dependency trust improves without hiding caveats.
- Deployable-now list stays clean under strict surface, not weaker artifacts.
- Underexposed sectors produce high-quality candidates with clean entries.
- Pending promotion-review names get current thesis/technical/risk packets.

Next action	Why it matters	Boundary
Promotion-review packets: CAT, GS, LLY, NVDA	Converts sector-level signal into name-level judgment.	Review only; no automatic promotion or execution.
Keep approved/promoted names separate: ETN, JPM	Avoids mixing pending promotion candidates with owner-approved/promoted state.	Owner approval still does not equal automated trading authority.
Research underexposed sectors	Improves balance without forcing bad entries.	Candidate quality and entry proof required.
Productize renderer as weekly shell	Preserves reusable polished PDF path.	Presentation layer only; canonical notes remain truth layer.

Final read: Constructive but constrained. Use this PDF to guide review order, not to mutate portfolio state.

Source lineage: tmp/market-state.json; tmp/sector-expansion-board.json; tmp/deployment-readiness-surface.json; tmp/dashboard-validation.json. Generated by scripts/render_composite_regime_sector_pdf.py. Missing sources fail closed into visible warnings rather than hidden certainty.